

FEDERAL MARITIME COMMISSION

PETITION OF GREAT WHITE
FLEET LINER SERVICES LTD.
AND GREAT WHITE FLEET CORP.
FOR AN EXEMPTION FROM
46 C.F.R. § 530.10

Docket No. P3-17

Served: February 15, 2018

BY THE COMMISSION: Michael A. KHOURI, *Acting
Chairman*, Rebecca F. DYE and Daniel B. MAFFEI,
Commissioners.

Order Granting Petition

I. BACKGROUND

On December 2, 2017, Great White Fleet Liner Services Ltd. (GWFLS) and Great White Fleet Corp. (GWFC) filed with the Federal Maritime Commission (Commission) the above-captioned petition for exemption from the provisions of 46 C.F.R. § 530.10 requiring individual service contract amendments to be filed with the Commission.

GWFLS and GWFC (Petitioners), state that they are members of a group of companies wholly owned directly or indirectly by Chiquita Holdings Ltd. (Chiquita). As part of an internal corporate restructuring of the Chiquita group's shipping

operations, GWFLS has agreed to transfer assets associated with its services, including its service contracts with shippers filed with the Commission to GWFC.¹ Upon completion of the restructuring, GWFC will commence serving GWFLS's shipping customers utilizing most of the same vessels, facilities, and personnel currently utilized by GWFLS. Pet. at 1-2.

The Petitioners assert that the assignment of the GWFLS service contracts to GWFC would require filing an amendment to each contract with the Commission, which, according to the Petitioners, would be unduly burdensome and confusing for both it and the shipper parties to the contract. The Petition notes that there are approximately 300 such service contracts. Pet. at 1-2.

Accordingly, the Petitioners request an exemption from the provisions in 46 C.F.R. § 530.10 requiring that amendments to each individual service contract be filed with the Commission. Instead of filing individual amendments, the Petitioners request that they be permitted to: (1) send a notification from GWFLS to the shipper party under each of the service contracts advising that the service contract has been assigned to GWFC and advising that if their agreement does not contain an assignment clause that they must advise within seven days if they will require a formal amendment to the service contract; and (2) GWFLS and GWFC will file universal notices in SERVCON under their respective organization numbers identifying all affected service contracts and confirming GWFC will be substituted for GWFLS, promptly after the expiration of the seven-day period. Pet. at 3-4.

The Petitioners argue that the requested exemption will not result in a substantial reduction in competition or be detrimental to commerce because GWFC has pledged to carry out GWFLS's service contracts after they have been assigned to GWFC and the assets essential to operation will have been transferred to GWFC by

¹ GWFC has requested and received a new organization number from the Commission. Pet. at 1-2.

that time. Pet. at 3.

On December 13, 2017, the Commission published a notice in the Federal Register requesting comment on the Petition. 82 Fed. Reg. 58603. The Commission received no comments.

II. DISCUSSION

The Commission's regulations governing service contracts provide that "[s]ervice contracts may be amended by mutual agreement of the parties to the contract." 46 C.F.R. § 530.10(b). Amendments must be filed electronically with the Commission in the manner set forth in 46 C.F.R. § 530.8 and appendix A to 46 C.F.R. part 530. The Petitioners claim that filing individual amendments for approximately 300 service contracts would be burdensome. Pet. at 2.

Exemptions from the requirements of Part 530 are governed by 46 U.S.C. § 40103 and the Commission's Rules of Practice and Procedure. 46 C.F.R. § 530.13(b). Under 46 U.S.C. § 40103(a), the Commission may grant exemptions from the Act, "if the Commission finds that the exemption will not result in substantial reduction in competition or be detrimental to commerce." § 40103(a).

The Commission has previously granted exemptions from the requirements in 46 C.F.R. § 530.10 in similar situations. See *Petition of COSCO Container Lines Company Ltd.*, 34 S.R.R. 97 (FMC 2016); *Petition of Crowley Caribbean Servs., LLC*, 33 S.R.R. 1461 (FMC 2016); *Petition of Compañía Sud Americana de Vapores S.A.*, 33 S.R.R. 934 (FMC 2015); *Petition of Hanjin Shipping Co., Ltd.*, 31 S.R.R. 1080 (FMC 2009). The Commission similarly concludes that an exemption from § 530.10(b) in this case will reduce the filing burdens on both the Petitioners and the shipper parties and will not result in a substantial reduction in competition or be detrimental to commerce.

The Commission finds that the potential for negative competitive or commercial effects resulting from the exemption is limited given that GWFC will be carrying out the services of GWFLS and will be utilizing most of the same vessels, facilities, and personnel as GWFLS. Moreover, the Commission believes the Petitioner's proposed measures, comparable to conditions imposed on previously granted exemptions from 46 C.F.R. § 530.10, offer adequate protection against any potential harm to competition or commerce.

III. CONCLUSION

For the reasons discussed above, the Commission is granting the petition, subject to certain conditions:

THEREFORE, IT IS ORDERED, that the Petition is GRANTED, provided that:

1. Upon granting of the Petition, GWFLS notifies, in the form and manner set forth in the Petition, all affected shippers of the change in carrier parties to the service contracts;
2. Petitioners file, in the manner set forth in the Petition, a Universal Notice with the Commission through SERVCON, enumerating all affected service contracts;
3. If any affected shipper opts to file an individual amendment such amendment shall be promptly filed pursuant to 46 C.F.R. § 530.10(b).

IT IS FURTHER ORDERED, that this proceeding is discontinued.

By the Commission.

Rachel E. Dickon
Secretary